IPO ANALYSIS REPORT · RHP

Vedant Poly Fabs Limited

SME · Flexible packaging films and laminates (Barasat, West Bengal) · filed – · lead manager(s): Affinity Global Capital Market Private Limited · issue size Rs 57 cr · price band: Rs 88-94 · analysed 2026-10-29

CALL **Neutral**

BUSINESS STAGE Early scaling (moved from trading to manufacturing; capacity 8.85 million kg at 72% use)

A West Bengal flexible-packaging maker that moved from trading into manufacturing (FY26 revenue Rs 115 cr, EBITDA margin 16.7%, PAT Rs 11 cr), priced at 17.3x FY26 earnings after the issue; our fair value is Rs 68 (Neutral) because three years of negative operating cash flow and rising debt leave little free cash.

Revenue FY26 **₹115 cr** CAGR FY24-FY26: **52.5%**	PAT FY26 **₹11 cr** CAGR FY24-FY26: **314.0%**	EBITDA margin **16.7%** FY24: **3.0%**	Cash conversion (CFO / PAT, 3 yrs) **-106.4%**
Cash tax rate (3 yrs) **–**	P/E at reference (post-issue) **17.3x** peer median: **21.0x**	Adjusted P/E (earnings quality) **17.3x** reported: **17.3x**	Blended value (Neutral) **₹67.82** vs reference: **-27.9%**
Reference price **₹94** Upper band Rs 94 (54,26,400 fresh + 6,03,600 OFS shares, Rs 56.68 cr). At Rs 94: market cap Rs 189.4 cr post-issue; P/E 17.27x on FY26 PAT (12.62x on pre-issue shares; 9.35x on the company's weighted EPS of Rs 10.05); P/B 2.10x post-issue; EV/EBITDA 9.8x. Objects floor Rs 63.			

Report structure

Business of the company

Industry outlook

Moat and SWOT analysis

Management analysis and governance

Historical financials and ratios

Future outlook and projections

Valuation: DCF and peer comparison (P2P)

Areas to watch and growth drivers

Conclusion

For information only. Not an offer, solicitation or recommendation, and not investment advice or a research report. The Fund may hold or bid for securities of issuers discussed. Investments in securities market are subject to market risks. Read all the related documents carefully before investing. Registration granted by SEBI in no way guarantees performance of the Fund or provides any assurance of returns to investors.

At a glance

The call, the key numbers and the basis of the analysis.

CALL

Neutral

STAGE

SME · RHP

A West Bengal flexible-packaging maker that moved from trading into manufacturing (FY26 revenue Rs 115 cr, EBITDA margin 16.7%, PAT Rs 11 cr), priced at 17.3x FY26 earnings after the issue; our fair value is Rs 68 (Neutral) because three years of negative operating cash flow and rising debt leave little free cash.

Business stage Early scaling (moved from trading to manufacturing; capacity 8.85 million kg at 72% use)

Revenue FY26 **₹115 cr** CAGR FY24-FY26: **52.5%**	PAT FY26 **₹11 cr** CAGR FY24-FY26: **314.0%**	EBITDA margin **16.7%** FY24: **3.0%**	Cash conversion (CFO / PAT, 3 yrs) **-106.4%**
Cash tax rate (3 yrs) **–**	P/E at reference (post-issue) **17.3x** peer median: **21.0x**	Adjusted P/E (earnings quality) **17.3x** reported: **17.3x**	Blended value (Neutral) **₹67.82** vs reference: **-27.9%**
Reference price **₹94** Upper band Rs 94 (54,26,400 fresh + 6,03,600 OFS shares, Rs 56.68 cr). At Rs 94: market cap Rs 189.4 cr post-issue; P/E 17.27x on FY26 PAT (12.62x on pre-issue shares; 9.35x on the company's weighted EPS of Rs 10.05); P/B 2.10x post-issue; EV/EBITDA 9.8x. Objects floor Rs 63.			

Basis. A book-built **SME issue on NSE Emerge** of up to **60,30,000 shares**: a **fresh issue of 54,26,400 shares** and an **offer for sale of 6,03,600 shares** by the promoters, including a market-maker portion of 3,04,800 shares. Price band **Rs 88-94**; lot 1,200 shares (retail minimum two lots, 2,400 shares = Rs 2,25,600 at the upper band). Bid/issue **2-Nov to 4-Nov-2026**; allotment 5-Nov; listing 9-Nov-2026

(tentative). BRLM Affinity Global Capital Market (NSE issue page, read 29-Oct-2026). At Rs 94 the issue is **Rs 56.68 cr** (fresh Rs 51.01 cr, OFS Rs 5.67 cr).

Provisional: the RHP could not be read. It sits on nsearchives.nseindia.com, which this environment cannot reach, and SME offer documents are not filed with SEBI. Figures are the restated standalone financials to **31-Mar-2026** as reproduced from the offer document by public IPO trackers (Multibagg, Chittorgarh, Chanakya, unp.me, IPO Watch, NiftyTrader), cross-checked on 29-Oct-2026. **No page cites are possible.** The figures reconcile:

- net worth Rs 42.26 cr / NAV Rs 28.70 = 1.4725 crore pre-issue shares = PAT Rs 10.97 cr / pre-issue EPS Rs 7.45;
- FY26 net worth = FY25 Rs 15.42 cr + PAT Rs 10.97 cr + Rs 15.87 cr of promoter-LLP loan converted to equity.

Figures that are our estimates are labelled. The report will be refreshed when the RHP is reachable.

Judged at the **upper band, Rs 94**. Holding period assumed: 2-3 years. Grey market premium is not used. Written from an investor's point of view under the Fund's standing rules. Depth: **SME snapshot**.

1. Business of the company

- **What it does:** a B2B maker of **flexible packaging** from one plant at **Barasat, West Bengal**: multilayer LD films, shrink films, barrier films, printed laminates, and milk and oil pouches. Lamination was 59% of FY26 revenue.
- **Capacity:** installed capacity rose from 6.85 to **8.85 million kg a year** in FY26, at **71.64% utilisation**. A further extrusion coating and lamination line of 12.85 million kg a year is planned.
- **Trading:** it also trades billet strips on a bill-to-ship basis; this is part of revenue, and the share is not available.
- **Markets:** West Bengal was **96.8%** of FY26 revenue. Trackers flag a sharp rise in counterparty concentration.
- **Promoters:** Pankaj Kumar Maheshwari, Sujata Maheshwari and Sethsawaria Poly Fab LLP; the promoter group holds **98%** before the issue.

Stage of the business

Classification: early scaling.

Evidence	Reading
Revenue Rs 49.53 cr (FY24) → Rs 81.58 cr (FY25, total income) → Rs 115.14 cr (FY26)	Fast growth from a small base
EBITDA Rs 1.48 → 8.30 → 19.18 cr	Shift from trading to manufacturing lifted margins
Capex Rs 26.91 cr in FY26; borrowings Rs 13.32 cr → Rs 46.82 cr	Capacity built with debt and promoter money
Operating cash flow negative three years running	Growth has not yet turned into cash

2. Industry outlook

- **Demand:** flexible packaging serves food, dairy, edible oil and FMCG; demand grows with packaged consumption and the shift from loose to packed goods.
- **Structure:** fragmented, with large national converters and many regional players. Raw material is mainly polyethylene and other polymers, whose prices move with crude; margins are usually high single digits to low teens.
- **Read for an investor:** steady volume demand, but a commodity-linked, competitive business where regional players win on service and proximity rather than pricing power.

3. Moat and SWOT analysis

Moat

- **Proximity and service** to dairy and edible-oil packers in eastern India; a broad range from one site.
- **Limits:** one plant, one state, and no structural barrier against larger converters.

STRENGTHS	WEAKNESSES
• Revenue up 2.3x in two years; EBITDA margin 16.7% (FY26) • RoNW 26% (FY26) • 8.85 million kg capacity with 28% headroom • Promoters converted Rs 15.87 cr of loans to equity	• Operating cash flow negative three years • Debt/equity 1.11x; borrowings up 3.5x • West Bengal 96.8% of revenue; one plant • Supplier credit collapsed in FY26
OPPORTUNITIES	**THREATS**
• Packaged dairy and edible-oil growth in eastern India • New extrusion coating and lamination line • Higher-value barrier films	• Polymer price swings • Competition from larger converters • Customer concentration

4. Management analysis and governance

- **Promoters:** the Maheshwari family and its LLP hold 98% before the issue. After the issue and the OFS the group would hold roughly 69% (our computation).
- **Related parties:** the promoter LLP lent Rs 15.87 cr in FY26 and converted it into equity; trackers report the related-party ratio fell in FY26. Terms of the conversion are not available.
- **Board, pay and litigation:** not available without the RHP.
- **Read:** a promoter-controlled SME that has put its own money into the expansion. No governance issue is visible in the data available, but the key SME checks (related-party pricing, promoter pay, litigation) remain open until the RHP is read.

5. Historical financials and ratios

Restated figures, Rs crore. Hover a mark for its value; open "Data table" under any chart for the numbers.

Rs crore	FY24	FY25	FY26
Revenue from operations (FY25: total income)	49.53	81.58	115.14
EBITDA	1.48	8.30	19.18
EBITDA margin	3.0%	10.2%	16.7%
PAT	0.64	4.56	10.97
PAT margin	1.3%	5.6%	9.5%
Operating cash flow	negative	-5.74	-11.46
Net worth	3.86	15.42	42.26
Total borrowings	n.a.	13.32	46.82
Total assets	18.88	55.40	97.80
Trade receivables / inventory / payables		15.41 inventory; 21.40 payables	28.38 / 24.29 / 1.68
Net working capital (issuer)	7.15	19.27	46.27
Debt / equity		0.86x	1.11x
RoNW (FY26, on closing net worth)			25.95%

Sources: trackers reproducing the restated financials (unp.me, Multibagg, Chittorgarh, Chanakya). FY26 investing outflow Rs 28.65 cr (Rs 26.91 cr on fixed assets); financing inflow Rs 47.16 cr.

At the upper band (Rs 94): post-issue shares 2.0151 crore; market cap **Rs 189.4 cr**. P/E **17.27x** on FY26 PAT after the issue (12.62x on the 1.4725 crore shares before it). Post-issue net worth about Rs 90.21 cr, P/B 2.10x; EV about Rs 188 cr, 9.8x FY26 EBITDA. At Rs 88: market cap Rs 177.3 cr, P/E 16.2x.

As disclosed by the company (Basis for Offer Price)

Item	As disclosed
Restated PAT, FY26	Rs 10.97 cr
EPS, FY26 (basic / diluted)	Rs 10.05 / Rs 10.05
P/E at floor price Rs 88 (basic / diluted)	8.76x / 8.76x
P/E at cap price Rs 94 (basic / diluted)	9.35x / 9.35x
Industry peer P/E (highest / lowest / average)	29.66x / 12.25x / 20.96x

Source: IPO trackers reproducing the offer document (Multibagg, Chittorgarh, Chanakya, unp.me, IPO Watch, NiftyTrader; read 29-Oct-2026); RHP not reachable, provisional. The RHP prints the issuer's P/E as [●] until the price band is fixed; the P/E shown is the band divided by the company's own EPS, the computation the price-band advertisement makes. These are pre-issue, latest-full-year figures; our own P/E elsewhere in this report is on post-issue shares. Basic EPS Rs 10.05 is on weighted shares (Rs 15.87 cr of promoter loan was converted into equity during FY26); on the 1.4725 crore shares outstanding before the issue EPS is Rs 7.45, a P/E of 11.8x-

12.6x across the band. Diluted EPS assumed equal to basic. Industry P/E is from the two peers in the offer document (B&A Packaging 12.25x, Barflex Polyfilms 29.66x).

Positives and points to monitor

Positives	Points to monitor
Margin and returns rose with the shift to manufacturing	Operating cash flow negative three years running
28% spare capacity before new spend	Borrowings Rs 46.82 cr; debt/equity 1.11x
Promoters converted Rs 15.87 cr of loans to equity	West Bengal 96.8% of revenue; one plant
Objects floor Rs 63, below the band	FY26 margin untested by a second year

Is the reported P/E right? Earnings quality at Rs 94

Reported P/E is a fair measure: the adjustments found move FY26 PAT by +0.0%, within the 10% threshold. On the FY24-FY26 average, which smooths one-year items, the P/E is 35.1x reported and 35.1x adjusted.

BASIS	PAT (RS CR)	EPS (RS)	P/E
Reported FY26	10.97	5.44	**17.3x**
FY24-FY26 average, reported	5.39	2.67	**35.1x**
FY24-FY26 average, adjusted	5.39	2.67	**35.1x**

Items found (pre-tax, Rs crore; negative reduces profit)

ITEM AND REASON	FY24	FY25	FY26	IN ADJUSTED P/E	CONFIDENCE	FY26 P/E IF APPLIED	PLACED
Other income Small (about 1% of FY26 pre-tax profit); nature not known. Shown for information.	-0.2	0	-0.17	No (information)	Low	17.5x	trackers

Also checked, no adjustment needed

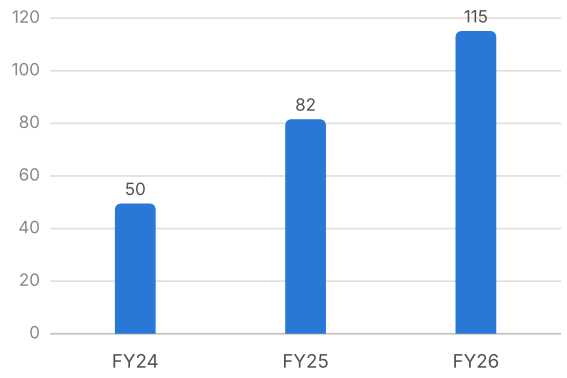
✓ PASS PAT growth (FY25 Rs 4.56 cr → FY26 Rs 10.97 cr) ahead of revenue growth (+41%) is explained by the shift from trading to manufacturing (trackers); not tested against the notes

✓ PASS Capitalised costs, cash tax, exceptional items and related-party pricing could not be tested without the RHP

✓ PASS Profit is not yet cash: operating cash flow negative in FY25 and FY26

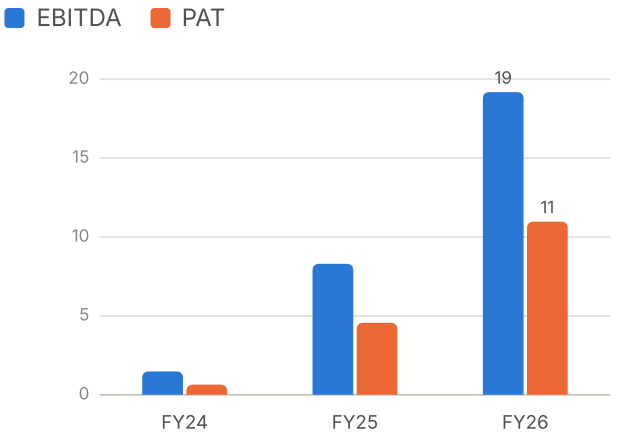
Revenue from operations

Rs crore



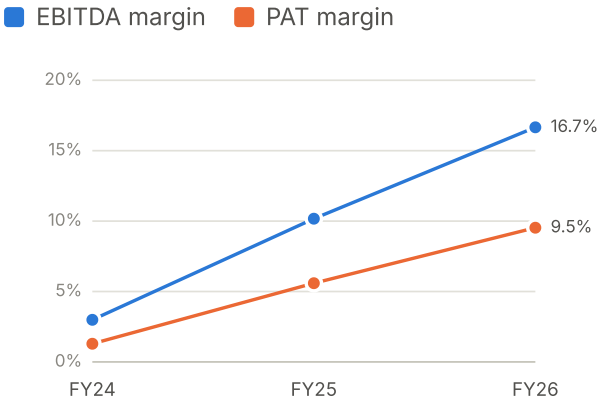
EBITDA and PAT

Rs crore



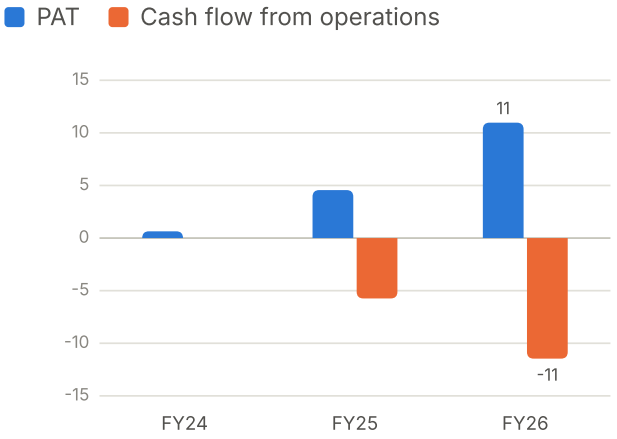
Margins

% of revenue



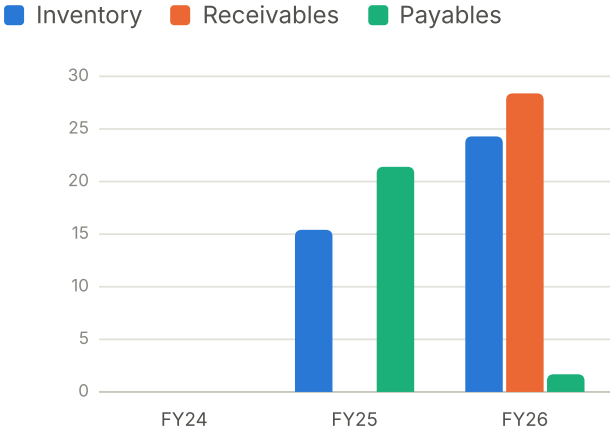
Profit and operating cash flow

Rs crore



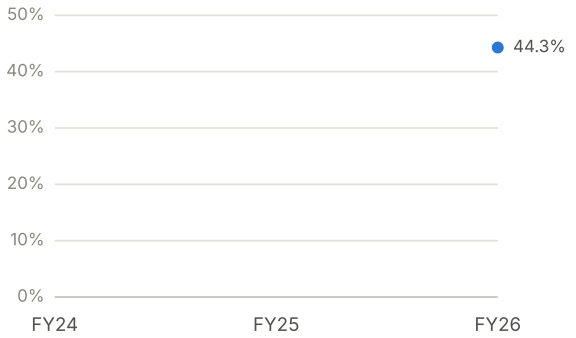
Working capital

Rs crore, year end



Net working capital

% of revenue



6. Future outlook and projections

Neutral case from the valuation model; Bear and Bull are in the valuation workbook.

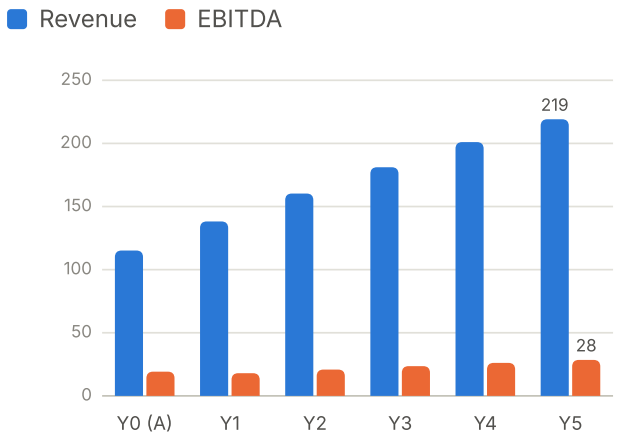
- **Use of the issue (Rs 51.01 cr fresh):** incremental working capital Rs 17.59 cr; repayment of borrowings Rs 8.00 cr; plant and machinery Rs 6.51 cr; the balance (about Rs 18.9 cr) is general corporate purposes and issue expenses.
- **After the issue:** if Rs 8 cr of debt is repaid, borrowings fall to about Rs 38.8 cr and debt/equity to about 0.43x.
- **Neutral projection used in the model (Rs crore):**

	FY26 (actual)	Y1	Y2	Y3	Y4	Y5
Revenue growth	41%	20%	16%	13%	11%	9%
Revenue	115.14	138.17	160.27	181.11	201.03	219.13
EBITDA (13%)	19.18	17.96	20.84	23.54	26.13	28.49
Free cash flow to firm	-24.2 (est.)	1.6	-2.9	2.3	4.6	7.3

Packaging film is capital- and working-capital-heavy: each rupee of new sales needs new machinery and about 33 paise of working capital, so free cash flow stays thin while the company grows.

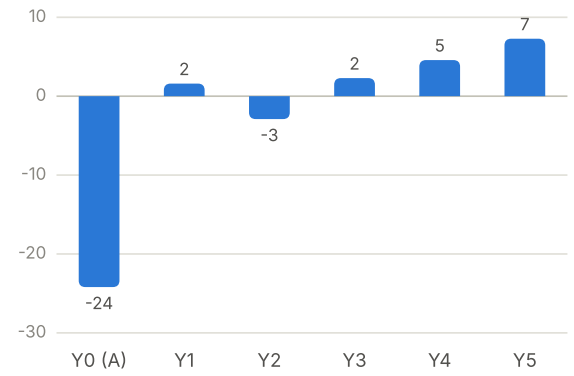
Projected revenue and EBITDA (Neutral)

Rs crore; Y0 is the latest audited year



Projected free cash flow to firm (Neutral)

Rs crore



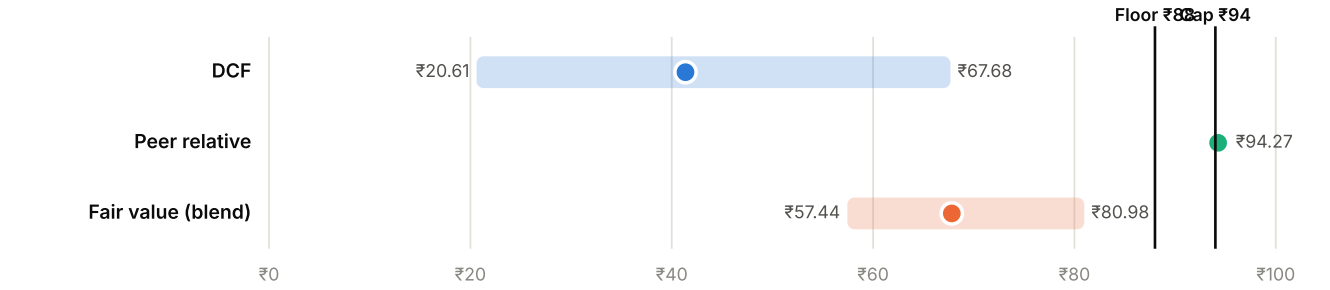
7. Valuation: DCF and peer comparison (P2P)

DCF and peer values shown separately, then blended. Reference: Upper band Rs 94 (54,26,400 fresh + 6,03,600 OFS shares, Rs 56.68 cr). At Rs 94: market cap Rs 189.4 cr post-issue; P/E 17.27x on FY26 PAT

(12.62x on pre-issue shares; 9.35x on the company's weighted EPS of Rs 10.05); P/B 2.10x post-issue; EV/EBITDA 9.8x. Objects floor Rs 63.

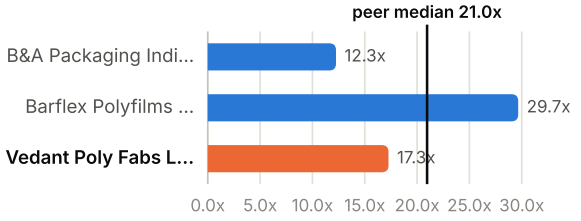
Value per share (Bear – Neutral – Bull)

Bar spans Bear to Bull; dot is Neutral. Vertical lines mark the price band.



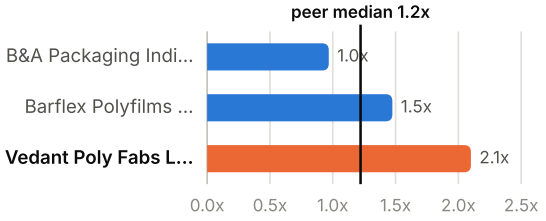
Peer P/E

Issuer at the reference price (orange) vs listed peers



Peer P/B

Issuer on post-issue net worth



Scenario summary

RS/SHARE	DCF	RELATIVE	FAIR VALUE	VS REFERENCE
Bear	₹20.61	₹94.27	**₹57.44**	-38.9%
Neutral	₹41.37	₹94.27	**₹67.82**	-27.9%
Bull	₹67.68	₹94.27	**₹80.98**	-13.9%

WACC **14.5%**

Terminal value share of EV **91.4%**

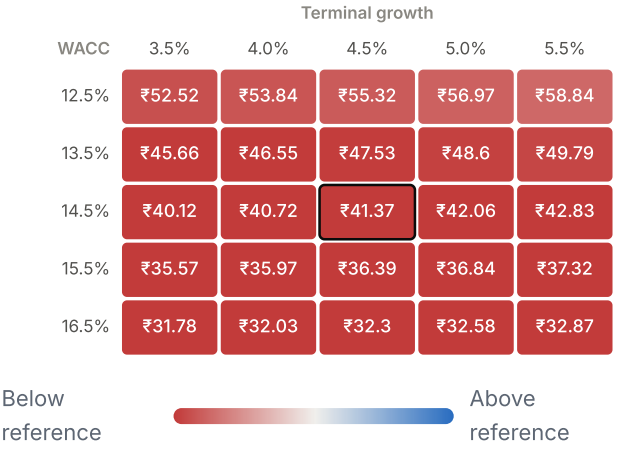
Reverse DCF: what the reference price assumes

LEVER	REQUIRED	ACTUAL
implied perpetual growth on current FCFF	n.m. (FCF negative)	4.5%
implied WACC at terminal g	n.m. (FCF negative)	14.5%
required EBIT margin (steady state)	27.8%	15.1%
required NWC % of revenue (steady state)	Unreachable: needs negative working capital	40.2%

Current free cash flow is negative, so no multiple can be stated: the price assumes cash generation improves from here.

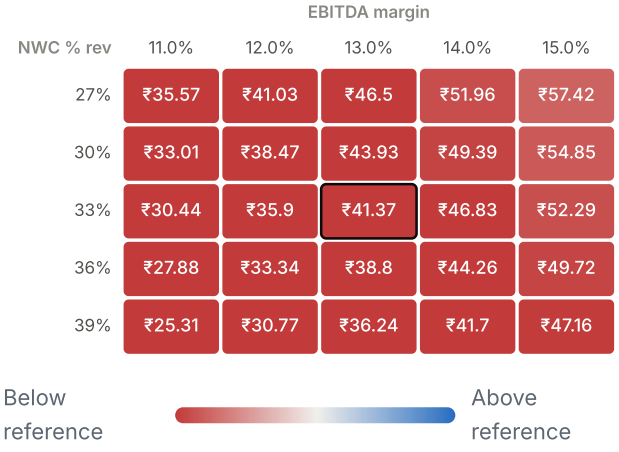
Sensitivity: WACC vs terminal growth

DCF value per share (Rs). Blue above, red below the reference.



Sensitivity: working capital vs EBITDA margin

DCF value per share (Rs).



Peer comparison (P2P)

Peers are the two named in the offer document, which itself says they are not strictly comparable given the nature and turnover of the business (as reproduced by Chittorgarh). CMP is derived from the quoted P/E and EPS.

Company	CMP (Rs)	EPS (Rs)	NAV (Rs)	RoNW	P/E	P/B
B&A Packaging India	174.44	14.24	180.16	7.90%	12.25x	0.97x
Barflex Polyfilms	57.24	1.93	38.82	4.07%	29.66x	1.47x
Vedant at Rs 94 (post-issue, FY26)	94	5.44	44.77	25.95%	**17.27x**	**2.10x**
Peer average				6.0%	20.96x	1.22x

Read: on P/E Vedant is priced below the average of the two peers, with much higher returns on equity. With only two peers, both of which earn low returns, the comparison is weak; one tracker puts the sector average P/E at about 16x.

DCF and fair value

Inputs (FY26; Rs crore):

- Reported: revenue 115.14; EBITDA 19.18; PAT 10.97; net worth 42.26; net debt taken as gross borrowings 46.82 (cash not disclosed, none credited); working capital 46.27 (Mar-25 19.27).
- **Estimates, not reported:** D&A Rs 1.8 cr, inferred from EBITDA, PAT and interest on average debt. Base capex Rs 12 cr a year: FY26's Rs 26.91 cr included a one-off 2 million kg capacity step, and 28% spare capacity plus the IPO-funded machinery (Rs 6.51 cr) cover the next two years.
- The fresh issue is credited net of 6% assumed expenses (Rs 47.95 cr).

Cost of capital (house CAPM): risk-free 6.5%, beta 1.10, ERP 7.0%, size premium 2.0%; cost of equity 16.2%; pre-tax cost of debt 10.0%; debt weight 20%. **WACC 14.46%**; terminal growth 4.50%; terminal ROIC 18%. Terminal value is 91% of enterprise value.

Relative method: house weights (peer-average P/E 40%, P/B 20%; peer EBITDA not available, so EV/EBITDA is not used).

Rs per share	Bear	Neutral	Bull
DCF	20.61	41.37	67.68
Relative (peer P/E and P/B)	94.27	94.27	94.27
Fair value (50:50 blend)	**57.44**	**67.82**	**80.98**
Against Rs 94 (upper band)	-38.9%	-27.8%	-13.9%
Against Rs 88 (floor)	-34.7%	-22.9%	-8.0%

- **Scenario drivers:**
  - Growth: Bear 5-8%, Neutral 9-20%, Bull 11-28% a year.
  - EBITDA margin: 10% / 13% / 15.5%.
  - Working capital: 40% / 33% / 28% of revenue. The Neutral case assumes supplier credit partly returns, between FY25 (24%) and FY26 (40%).
  - Terminal ROIC: 15% / 18% / 22%.
- **Why DCF and peers diverge (-56%):** the business reinvests almost all of its profit in machinery and working capital, so free cash flow is thin; peer P/E multiples price reported profit.
- **Sensitivity (Neutral DCF):**
  - WACC 12.4-16.4% gives Rs 55-32.
  - At 33% working capital, EBITDA margin 11-15% gives Rs 30-52.
  - At 13% margin, working capital 27-39% gives Rs 47-36.

    - The margin path matters most.
- **Objects floor:** Rs 63 a share (Rs 32.10 cr of objects over 54.26 lakh fresh shares, after expenses), below the band.
- **Reverse DCF at Rs 94:** current free cash flow is negative, so no multiple can be stated. **In plain words: the price assumes the 13-17% margin holds and that working capital stops absorbing the profit.**

8. Areas to watch and growth drivers

Growth drivers to track

- **Utilisation** of the 8.85 million kg capacity, and the new extrusion coating and lamination line.
- **Margin** holding at 13% or above as polymer prices move.
- **Cash conversion:** operating cash flow turning positive; payables returning towards FY25 levels.
- **Geographic spread** beyond West Bengal.

Points to monitor

Item	Now	Why it matters to an investor
Cash flow	CFO negative three years	Profit must become cash
Leverage	Debt/equity 1.11x	Interest on a thin margin
Concentration	West Bengal 96.8%; counterparty concentration rising	One market drives results
Margin	16.7% in FY26, first year at this level	May not hold
RHP detail	Related parties, litigation, customers	Not yet read

What would change our view

- **Towards Subscribe:** allotment at about Rs 75 or below; or RHP figures showing positive cash flow, lower working capital or a durable margin above 15%.
- **Towards Avoid:** a price above about Rs 97; a margin fall back towards 10%; or material related-party or litigation findings in the RHP.

Risks

- Polymer price volatility.
- Single plant and single-state revenue.
- Working-capital stretch and rising debt.
- Execution of the new line.
- SME liquidity and the 2,400-share minimum application.

9. Conclusion

CALL

Neutral

STAGE

SME · RHP

A West Bengal flexible-packaging maker that moved from trading into manufacturing (FY26 revenue Rs 115 cr, EBITDA margin 16.7%, PAT Rs 11 cr), priced at 17.3x FY26 earnings after the issue; our fair value is Rs 68 (Neutral) because three years of negative operating cash flow and rising debt leave little free cash.

Business stage Early scaling (moved from trading to manufacturing; capacity 8.85 million kg at 72% use)

Neutral at Rs 94 (upper band).

The investment case. A West Bengal flexible-packaging maker that moved from trading into manufacturing. Revenue has grown 2.3x in two years to Rs 115 cr, EBITDA margin has risen to 16.7%, and RoNW is 26%. The promoters have put in Rs 15.87 cr of their own money, and the issue funds working capital, debt repayment and machinery. At 17.3x FY26 earnings after the issue it is priced below the two listed peers' average (21.0x), and the reported P/E is a fair measure on the data available.

What holds the value down. The business has not generated operating cash for three years. Borrowings have risen 3.5x, sales are almost entirely in one state from one plant, and FY26 is the first year at this margin.

Valuation. Fair value Rs 57 / **Rs 68** / Rs 81 (Bear / Neutral / Bull). **Call rule:** the Neutral value is 27.8% below the upper band (between 10% and 30%), so the call is **Neutral**. It is close to the 30% line, which would apply above about Rs 97. No material issue was found in the data available.

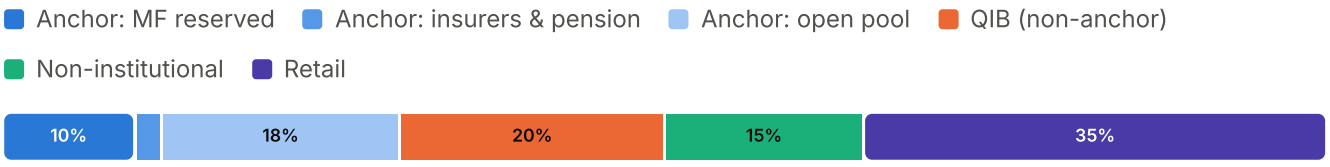
This is a **provisional** report built without the RHP. It will be refreshed when the RHP is read; the open checks (cash flow detail, customers, related parties, litigation) could move the call.

Appendix

Offer structure and lock-ins, lead managers' track record, diligence checks and supporting detail.

Issue split by investor category (Rs 57 cr net offer)

The open anchor pool is the part an AIF competes for; allocation is discretionary.



Lock-in expiries known from the offer document

HOLDER	SHARES (LAKH)	LOCK-IN (DAYS FROM ALLOTMENT)
Anchor - tranche 1	9.04	30
Anchor - tranche 2	9.04	90
Promoters' minimum contribution (20% of post-issue capital)	40.3	1095
Promoter holding above the minimum contribution (half)	49	365
Promoter holding above the minimum contribution (other half)	49	730

Diligence checks

#	CHECK	RESULT	FINDING	PAGE
1	Bonus issue / share-count consistency	✓ PASS	Net worth Rs 42.26 cr / NAV Rs 28.70 = 1.4725 crore shares = PAT Rs 10.97 cr / EPS Rs 7.45. The company's basic EPS of Rs 10.05 is on weighted shares: Rs 15.87 cr of promoter-LLP loan was converted into equity during FY26.	trackers
2	Cash flow vs profit	! WATCH	Operating cash flow negative three years running: Rs -5.74 cr (FY25) and Rs -11.46 cr (FY26) against PAT Rs 4.56 / 10.97 cr. Trade payables fell from Rs 21.40 cr to Rs 1.68 cr and inventory rose Rs 8.88 cr in FY26; capex Rs 26.91 cr; funded by Rs 47.16 cr of financing (borrowings Rs 13.32 cr → Rs 46.82 cr and the loan conversion).	trackers
3	Current vs deferred tax	○ OPEN	Tax split not available.	
4	Related-party capex & subsidiaries	! WATCH	Rs 15.87 cr FY26 loan from promoter entity Sethsawaria Poly Fab LLP converted into equity; trackers report the related-party ratio fell in FY26. Terms of conversion not read.	trackers
5	Objects arithmetic as price floor	✓ PASS	Objects excluding GCP Rs 32.10 cr (working capital 17.59 + debt repayment 8.00 + plant and machinery 6.51) over 54.26 lakh fresh shares = Rs 63 a share after 6% assumed expenses, below the Rs 88 floor.	objects (trackers)
6	Revaluation reserve	○ OPEN		
7	Goodwill vs tangible equity	○ OPEN	Goodwill and intangibles not available.	
8	Customer / supplier / geographic concentration	! WATCH	West Bengal 96.8% of FY26 revenue; one plant (Barasat); trackers flag sharply higher counterparty concentration. Lamination 59% of FY26 revenue; billet-strip trading on a bill-to-ship basis is part of revenue.	trackers
9	Contingent liabilities	○ OPEN	Contingent liabilities and litigation not available.	
10	Investor presentation vs DRHP	– N.A.	No investor presentation reviewed.	
R1	Auditor qualifications / changes	○ OPEN	Auditor not available.	
R2	CARO / audit trail	○ OPEN		
R3	Monitoring agency	– N.A.	Fresh issue Rs 51.01 cr: monitoring agency mandatory above Rs 50 cr; to be named in the RHP.	
R4	Eligibility re-computation	○ OPEN		
R5	SME conditions	○ OPEN	SME eligibility not re-computed.	
R6	Lead-manager track record	○ OPEN	Affinity Global Capital Market (BRLM): track record not compiled.	
R7	Firm means of finance	○ OPEN		

Under the Fund's rules a check is marked Fail only for a material issue; normal features of the business are Watch items, covered in part 8.

Appendix A: Offer, anchor book and lock-ins

- **Structure:**
  - Fresh issue of 54,26,400 shares (Rs 51.01 cr at Rs 94).
  - OFS of 6,03,600 shares (Rs 5.67 cr).
  - Market-maker reservation of 3,04,800 shares.
  - Net offer: QIB up to 50% (anchor up to 60% of that), NII at least 15%, retail at least 35%.
- **Objects:** working capital Rs 17.59 cr; debt repayment Rs 8.00 cr; plant and machinery Rs 6.51 cr; GCP and issue expenses the balance.
- **Anchor book:** if there is one, it bids one working day before opening. The NSE allocation report is not reachable here.
- **Lock-ins:**
  - Promoters' minimum contribution (20% of post-issue capital, about 40.30 lakh shares) for three years.
  - The rest of the promoter holding (about 98 lakh shares, our estimate): half after one year, half after two years (SEBI ICDR for SME issues).

Appendix B: Merchant bankers

Affinity Global Capital Market Private Limited (BRLM). Its track record of past issues is not compiled in this run.

Appendix C: Diligence checks

#	Check	Status	Finding
1	Share count	PASS	NAV and EPS both give 1.4725 crore pre-issue shares; company EPS Rs 10.05 is on weighted shares
2	Cash flow vs PAT	WATCH	CFO Rs -5.74 / -11.46 cr in FY25-26 against PAT Rs 4.56 / 10.97 cr
3	Current vs deferred tax	OPEN	Not available
4	Related-party dealings	WATCH	Rs 15.87 cr promoter-LLP loan converted to equity
5	Objects as price floor	PASS	Rs 63, below the band
7	Goodwill	OPEN	Not available
8	Concentration	WATCH	West Bengal 96.8% of revenue; one plant
9	Contingent liabilities	OPEN	Not available
R3	Monitoring agency	N.A.	Mandatory above Rs 50 cr; to be named in the RHP
R6	BRLM track record	OPEN	Not compiled

No check met the Fund's test for a material issue, but several checks are open until the RHP is read.

Appendix D: Data gaps and verification

Data gaps

Item	Severity	Where to source
RHP not obtainable; tracker figures, no page cites	High	RHP (NSE Emerge)
FY25 revenue from operations; FY24 cash flow; D&A, interest, tax; cash balance	Medium	RHP restated financials
Customer concentration; billet-trading share of revenue	Medium	RHP business section
Terms of the loan-to-equity conversion; other related-party transactions	Medium	RHP
Litigation and contingent liabilities	Low	RHP
Anchor book	Low	NSE

Verification

- **Share count reconciles:** net worth Rs 42.26 cr / NAV Rs 28.70 = 1.4725 crore shares; PAT Rs 10.97 cr / EPS Rs 7.45 = 1.4725 crore shares; post-issue EPS Rs 5.44 = PAT / 2.0151 crore shares.
- **Net worth reconciles:** FY25 Rs 15.42 cr + FY26 PAT Rs 10.97 cr + Rs 15.87 cr loan converted to equity = Rs 42.26 cr.
- **Ratios reconcile:** debt/equity 1.11x = 46.82 / 42.26; RoNW 25.95% = 10.97 / 42.26.
- **FY26 cash reconciles:** operating -11.46 + investing -28.65 + financing +47.16 = +7.05 change in cash.
- **Workbooks:** the toolkit verification gate passed on this build.

Sources: Multibagg (financials), Multibagg (borrowings), Multibagg (cash flow), Multibagg (capacity), Multibagg (West Bengal share), Chittorgarh, Chanakya, unp.me, IPO Watch, NiftyTrader, read 29-Oct-2026.

Disclaimer and disclosures

This material is published by Parshwanath Capital Ventures Fund, a Category III Alternative Investment Fund registered with the Securities and Exchange Board of India (SEBI) under the SEBI (Alternative Investment Funds) Regulations, 2012, Registration No. IN/AIF3/25-26/2108. Fund Manager: CA Deep Dalal. Sponsor: Jignesh Shah.

This material is for information and educational purposes only. It does not constitute an offer, invitation, solicitation or recommendation to buy, sell, subscribe to or bid for any security, and it is not investment advice within the meaning of the SEBI (Investment Advisers) Regulations, 2013 or a research report within the meaning of the SEBI (Research Analysts) Regulations, 2014. Calls such as 'Subscribe', 'Neutral', 'Avoid' or 'Screen only' record the Fund's internal analytical view of an offer document and are not a recommendation to any reader.

Units of the Fund are offered only on a private placement basis to eligible investors through the Fund's Private Placement Memorandum, in accordance with the SEBI (Alternative Investment Funds) Regulations, 2012. Nothing in this material is, or should be construed as, a solicitation of investment in the Fund.

The analysis is based on offer documents (DRHP / RHP / prospectus) filed with SEBI and the stock exchanges and on other publicly available information. Figures from sources other than the offer document are identified as such and have not been independently verified. Valuation models, scenarios and projections are illustrative, depend on stated assumptions, and are not forecasts or assurances of future performance. No representation or warranty is given as to accuracy or completeness, and the Fund, its Manager, Sponsor, employees and associates accept no liability for any loss arising from the use of this material.

Disclosure of interest: the Fund, its Manager, Sponsor and their associates may apply for, bid in (including as Anchor Investor or Qualified Institutional Buyer), hold, buy or sell securities of any issuer discussed, before or after publication, and may act in a manner inconsistent with the views expressed here.

Investors should rely on their own examination of the offer document, including its risk factors, and consult their own financial, legal and tax advisers before making any investment decision. Past performance, including of any issuer or lead manager, is not indicative of future results.

Investments in securities market are subject to market risks. Read all the related documents carefully before investing.

Registration granted by SEBI in no way guarantees performance of the Fund or its Manager or provides any assurance of returns to investors.

Investor grievances: fundmanager@parshwanath.in. Complaints may also be lodged with SEBI through SCORES at https://scores.sebi.gov.in.